

Malaysia: Anwar likely to resist parties' push for snap elections

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Growing dissent by key ruling coalition partner adds pressure to Anwar's government.|||||||

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Malaysia: Anwar likely to resist parties' push for snap elections

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- Malaysia: UMNO likely to remain in government, reducing snap-poll risk
- Philippines: Arrest of vice president could influence impeachment trial
- Indonesia: Russia could gain larger role in Indonesia's strategic sectors
- Pacific Islands: Chinese influence will likely deepen regional division
- Charting ASEAN: Goods exports to US continue to climb despite tariff threats
- Event calendar

Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

UMNO will likely remain in Anwar's government despite growing dissent. The United Malays National Organisation (UMNO) party, a member of Prime Minister Anwar Ibrahim's ruling coalition, holds its annual general assembly from 9 to 12 September. Delegates are expected to debate motions on the party's political direction and cooperation with other parties.

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There have been signs of friction within the ruling coalition in recent months, including UMNO's efforts to strengthen ties with the opposition Parti Islam Se-Malaysia (PAS) and public disagreements between Deputy Prime Minister and UMNO president Zahid Hamidi and the Ministry of Finance, which Anwar leads. Nevertheless, UMNO does not have an easy path to form an alternative government. The threat of "lawfare" against UMNO leaders will also deter any serious attempt to withdraw the party's support. Zahid has recently downplayed tensions with Anwar and reiterated that UMNO will remain in government until the end of the term.

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UMNO will also likely maintain strategic ambiguity over its choice of coalition partner ahead of state and general elections. The party will probably continue to publicly cultivate ties with PAS while keeping open the option of contesting alone or partnering with Anwar's Pakatan Harapan (PH). That approach will help UMNO bolster support among ethnic Malay-Muslim voters while preserving leverage in seat negotiations with potential partners.

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November 2027 remains the most likely timeframe for the general election—despite Zahid openly saying that an earlier vote would allow the public to deliver a fresh mandate and Anwar stating he “can consider” that option. Zahid likely wants to capitalize on BN’s momentum from recent state election victories. However, Anwar wants more time to rebuild support and will likely call elections only after presenting the final budget of his term late next year. The prime minister recently raised the monthly quota of subsidized fuel and hinted at higher salaries for armed forces personnel. Additional cost-of-living measures will likely be announced in the upcoming budget (see Elections likely next year despite talk of earlier vote , 31 March 2026).

Philippines

By Peter Mumford

Short-term trajectory:

Long-term trajectory:

Vice President Sara Duterte-Carpio’s arrest could sway impeachment trial. The case stems from her November 2024 statement that she had hired an assassin to target President Ferdinand Marcos, First Lady Louise Araneta-Marcos, and then-House Speaker Martin Romualdez (the president’s cousin) if she were killed. The court issued a warrant, but Duterte-Carpio avoided a public confrontation by voluntarily surrendering and posting bail.

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If found guilty, Duterte-Carpio will be disqualified from the 2028 presidential election. However, a final verdict will probably not be rendered before election day given what would likely be a lengthy trial and appeal process.

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The more immediate question is whether the vice president’s arrest will influence her impeachment trial in the Senate. Marcos has applied pressure on wavering senators by pursuing corruption and fraud investigations, leaving the vice president more vulnerable than before. Removing her from office through a guilty verdict would require support from two-thirds of the Senate, or 16 of 24 senators, though several senators are currently absent and lawmakers continue to debate the proper threshold. Duterte-Carpio’s arrest could persuade some undecided senators to vote against her. A conviction would also likely bar her from seeking public office in the future, including in 2028. Senate impeachment verdicts cannot be appealed.

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Representative Paolo Duterte and Davao City Mayor Sebastian Duterte, Duterte-Carpio’s brothers, could emerge as presidential contenders if the vice president cannot run. Although neither is as popular as Duterte-Carpio, both would likely retain the support of most of the family’s backers, especially in vote-rich Mindanao where they are based.

Indonesia

By Olga Letticia

Short-term trajectory:

Long-term trajectory:

Russia’s investment push deepens Indonesia’s economic ties with Eurasia. On 3 September, President Prabowo Subianto met President Vladimir Putin at the Eastern Economic Forum in Vladivostok. Prabowo used the visit to strengthen economic ties with Russia and push for faster implementation of the

Indonesia-Eurasian Economic Union (I-EAEU) free trade agreement (FTA). He is working to diversify Indonesia's sources of capital, technology, and markets beyond Western partners while maintaining his non-aligned policy.

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During the forum, Prabowo announced that Russian aluminum producer Rusal is preparing a large-scale investment in an Indonesian processing and refining facility with local business groups. The project would help broaden Indonesia's downstream strategy beyond nickel into bauxite and aluminum processing. Prabowo also invited Russian companies to provide capital and technology and to take equity stakes in 138 oil and gas blocks, adding Russian firms to the pool of potential investors in Indonesia's strategic energy sector. In addition, a state-owned fertilizer company signed a memorandum of understanding to explore gas-based urea production in Russia.

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Prabowo also set a target of doubling bilateral trade with Russia from nearly \$5 billion in 2025 to \$10 billion by the first review of the I-EAEU FTA. He aims to support that goal through stronger maritime and air connectivity, non-dollar payment mechanisms, and faster implementation of the FTA. The agreement was signed in December 2025 and is expected to enter into force in early 2027.

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However, greater Russian involvement could complicate financing, technology transfers, and supply chains for Western-linked firms because of sanctions and counterparty risks. The Rusal project and potential Russian participation in the 138 oil and gas blocks will be important watchpoints for whether Russia becomes a more central partner in Indonesia's economic strategy.

Pacific Islands

By Fadli Yusoff

Growing China ties will likely deepen divisions among Pacific Island countries. The annual Pacific Islands Forum (PIF) was held in Palau from 31 August to 3 September. Palau, one of only three Pacific countries that maintain official diplomatic relations with Taiwan, invited Taiwanese representatives to attend, prompting a sharp reaction from Beijing.

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Five of the forum's 18 members—Fiji, Vanuatu, Samoa, Kiribati, and New Caledonia—sent only lower-level representatives. Although none explicitly linked their leaders' absences to Taiwan's participation, their close ties with China suggest that avoiding friction with Beijing was a key factor.

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The PIF also struggled to adopt a stronger collective position on China's July ballistic missile launch into Pacific waters. The group's final statement expressed only "concern" rather than stronger condemnation, and it lacked unanimous support after Nauru objected. This limited response underscores the difficulty of forging a common regional position on security issues.

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Beijing will likely increase pressure on countries it perceives to support Taiwan. Reports indicated that Chinese officials cautioned PIF delegations against attending side events involving Taiwan. After Taiwan Foreign Minister Lin Chia-lung attended the forum, China's Pacific envoy Qian Bo warned of unspecified "consequences." Countries that Beijing views as friendly toward Taiwan could face more coercive measures, including reduced access to financing and delays to planned infrastructure projects.

Charting ASEAN

Despite US tariff threats, exports from Southeast Asian countries to the US have continued to grow. After the conclusion in July of Section 301 investigation on forced labor, the US imposed 10% tariffs on Malaysia and Indonesia, while other major countries in the region face a 12.5% rate. Vietnam is the most exposed to further tariff increases. Its exports to the US have doubled in less than two years, and the country faces an additional Section 301 investigation related to intellectual property rights. Most recently, Deputy Prime Minister Nguyen Van Thang met US Trade Representative Jamieson Greer in Washington and reiterated Hanoi's readiness for "open, constructive" trade talks. Thailand, the second-largest Southeast Asian exporter to the US, said this month that both sides have agreed on the main terms of an Agreement on Reciprocal Trade.

Event calendar

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